economic rationale for the prohibition of certain preferential terms that would have a material, negative effect on other investors. Several commenters' letters supported this economic rationale, commenting on these types of asymmetries across investors for all categories of private funds.[1029] Because the preferential terms that are prohibited in the final rule are only those that the adviser reasonably expects to have a material, negative effect on other investors, we believe the rule is focused on the case where an investor's ability to extract such terms is itself evidence of substantial bargaining power on the part of the investor. This economic rationale is bolstered by the variation in commenter response to the proposal to prohibit certain preferential terms, with certain investors themselves opposing the prohibition and others supporting it.[1030]

These specific problems may be difficult, or unable, to be addressed via enhanced disclosures and consent requirements alone. For example, investors facing a collective action problem today, in which they are unable to coordinate their negotiations, would still be unable to coordinate their negotiations even if consent was sought from each investor for a particular adviser practice. As another example, in cases where certain preferred investors with sufficient bargaining power secure preferential terms over disadvantaged investors, majority consent by investor interest requirements may have minimal ability to protect the disadvantaged investors, as we would expect the larger, preferred investors to outvote the disadvantaged investors.

While there are cases where the prohibited preferential treatment terms can result in investor harm outside the context of redemptions, and we discuss all such cases below,[1031] the

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1029 *See, e.g.*, AFREF Comment Letter IV; LACERS Comment Letter; NEBF Comment Letter; OFT Comment Letter.

1030 *See, e.g.*, Carta Comment Letter; Meketa Comment Letter; Lockstep Ventures Comment Letter; LACERS Comment Letter; AFREF Comment Letter IV; NY State Comptroller Comment Letter; Weiss Comment Letter; AIC Comment Letter I, Appendix 2; MFA Comment Letter II.

1031 *See infra* section VI.D.4.

leading cases are focused on redemption rights, which may on average be more relevant for hedge funds and other liquid funds than for illiquid funds or other funds that offer more limited redemption or withdrawal rights. Therefore, with respect to the final rules prohibiting certain preferential treatment, we again believe the policy decision has benefited from taking into account the causes of bargaining failures or other market frictions.[1032]

As a final matter, one commenter points to additional internal principal-agent problems at private fund investors, between investment committees and their own beneficiaries, in which investment committees have limited incentives to intensely negotiate for reforms that are in the interests of their beneficiaries, but not necessarily further the interests of the investment committee.[1033] Conversely, investment committees may have incentives to maintain existing structures that are to their benefit, but are not in the interest of fund beneficiaries.[1034] For example, academic literature has theorized that staff members of institutional investors may have incentives to structure contracts in opaque ways to advance their own career interests, that staff at institutional investors may have incentives to demand overstated reported returns from fund advisers, or that institutional investor committees may have incentives to overinvest in private equity funds making investments in their local markets.[1035] Other literature has analyzed public pension plan investments in private funds more broadly and raised concerns as to whether public

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1032 *See supra* section VI.B.

1033 *See* Clayton Comment Letter II; *see also, e.g.*, Yael V. Hochberg & Joshua D. Rauh, *Local Overweighting and Underperformance: Evidence from Limited Partner Private Equity Investments*, 26 REV. FIN. STDS. 403 (2013); Blake Jackson, David C. Ling & Andy Naranjo, *Catering and Return Manipulation in Private Equity* (Oct. 11, 2022), *available at* https://ssrn.com/abstract=4244467 (retrieved from SSRN Elsevier database).

1034 *Id*.

1035 *Id*.

pension plan trustees and officials adequately protect the interests of their beneficiaries when negotiating.[1036]

In light of these enhanced considerations from the comment file, we can more closely evaluate statements by commenters presenting arguments that no further regulation is needed. In particular, and as briefly noted above, one commenter and industry report stated that, because the private equity industry has a large number of advisers and funds with low concentrations of assets under management and capital raised, the industry must already be competitive.[1037] While that commenter and report did not discuss hedge funds, that commenter and report stated that, for example, the capital raised by new funds established by the five largest PE fund advisers has not exceeded 15% of total capital raised by new PE funds from 2013-2021.[1038] The commenter and report conclude that, because the private equity industry is already highly competitive, further regulation would reduce competition in that market.[1039]

However, we believe this analysis may not fully take into account the imbalances and inefficiencies in the bargaining process discussed above. For example, this analysis does not take into account investor limitations on size of the investors' potential investments institutional track record, and diversification across vintage years, size, sector, strategy, and geography, and therefore overstates the number of advisers and funds available to any given investor.[1040] As

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1036 Clayton Comment Letter II; *see also, e.g.*, Professor Clayton Public Investors Article, *supra* footnote 12.

1037 CCMR Comment Letter IV; A Competitive Analysis of the U.S. Private Equity Fund Market, *supra* footnote 971. This commenter's analysis is limited to the private equity market. Other commenters also stated that there are a large number of private fund advisers in the industry more generally, without analyzing the concentration of capital raised or assets under management. *See supra* footnote 970 and accompanying text; *see also, e.g.*, AIMA/ACC Comment Letter; AIC Comment Letter I, Appendix 1; MFA Comment Letter I, Appendix A.

1038 *Id*.

1039 *Id*.

1040 *See supra* footnote 986.

another example, even though adviser law firm concentration may be offset by investor consultant concentration, an analysis of private equity industry concentration solely by counts of the number of private equity funds and advisers, and the distribution by assets under management, fails to take into account the effects of either adviser law firms or investor consultants.[1041] As a third example, the analysis does not take into consideration the fact that investors can have predetermined investment allocations to private funds that must be satisfied within a certain time frame, limiting their ability to freely exit negotiations.[1042] While these efficiencies and imbalances may be mitigated by having a marketplace with a large number of advisers, it may be difficult for competitive forces solely driven by low industry concentration to fully resolve these issues with the bargaining process itself.

The commenter and report also argue that the presence of price competition in the market for private equity is evidence that the market is competitive and not in need of further regulation.[1043] However, the analysis considers only price competition and ignores competition over non-price contractual terms. An analysis of price competition overlooks the staff observations on harmful practices and non-price contractual terms contemplated in the Proposing Release and in this release, such as private fund advisers offering preferential redemption terms to only certain investors. Competition between advisers over whether they offer preferential redemption terms, or other non-price contractual terms, cannot be reliably measured in an analysis solely focused on price competition across advisers. As another commenter notes, academic literature has documented that among private fund advisers, there is substantial

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1041 *See supra* footnotes 988 and accompanying text.

1042 *See supra* footnotes 1013-1014 and accompanying text.

1043 CCMR Comment Letter IV; A Competitive Analysis of the U.S. Private Equity Fund Market, *supra* footnote 971.

negotiation over non-price contractual terms.[1044] In particular, in a recent industry survey of ILPA members, almost all respondents reported that the starting point of contractual LPA terms and the final negotiated LPA terms have become more adviser-friendly over the last three years.[1045] As a final matter, price competition may vary in its intensity between different types of private funds in a way not accounted for by the CCMR comment letter and report. In a recent study on the performance of hedge fund fees, the authors find that hedge fund compensation structures have resulted in investors collecting only 36% of the returns earned on their invested capital (over the risk-free rate).[1046]

For these reasons, we believe certain particularly harmful practices can warrant stricter regulation, such as mandating protective actions like audits or prohibiting particularly problematic or harmful practices.[1047] For smaller investors with less bargaining power who may be more vulnerable, advisers may have conflicts of interest between the fund's interests and their own interests (or "conflicting arrangements"). These conflicts reduce advisers' incentives to act in the best interests of the fund. For example, an adviser attempting to raise capital for a successor fund has an incentive to inflate valuations and performance measurements of the current fund.

1044 Clayton Comment Letter II; PAUL GOMPERS & JOSH LERNER, THE VENTURE CAPITAL CYCLE, at 31-32, 45-47 (The MIT Press, 2002).

1045 The Future of Private Equity Regulation, *supra* footnote 983; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1046 Itzhak Ben-David, Justin Birru & Andrea Rossi, *The Performance of Hedge Fund Performance Fees*, Fisher College of Bus. Working Paper No. 2020-03-014, Charles A. Dice Working Paper No. 2020-14, (June 24, 2020), *available at* https://ssrn.com/abstract=3630723 (retrieved from SSRN Elsevier database).

1047 That is, these additional bargaining power asymmetries are unlikely to be resolved by disclosure alone. Moreover, because the preferential treatment rule specifically considers the case where the adviser benefits larger investors at the expense of smaller investors, and because smaller investors generally have more limited ability to identify outside options to their current adviser, these market failures also are unlikely to be resolved by consent requirements. *See infra* section VI.D.4.

Many commenters argued that private fund investors are sophisticated negotiators, and that the Commission should not insert itself into commercial negotiations between sophisticated parties.[1048] Other commenters highlighted specific proposed prohibited activities such as the prohibition on reducing adviser clawbacks for taxes paid and the prohibition on borrowing, and stated that the prohibited activities represent outcomes of sophisticated negotiations.[1049] Commenters also cited the overall burden of the rule, and expressed concern that the rule would negatively impact private fund competition and capital formation.[1050] Some of these commenters specifically expressed a concern that the impact on competition would occur because the compliance costs of the rule would cause smaller advisers to exit.[1051]

While we acknowledge commenters' concerns, we remain convinced by the evidence of market failures in the private fund adviser industry. We believe, as discussed further below, that these commenters fail to acknowledge that (i) the substantial growth of private funds has included interest and participation by smaller investors who may lack bargaining resources, and be more vulnerable than the largest investors,[1052] and (ii) many attorneys representing investors report in survey evidence that investors accept poor legal terms in negotiations because the

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1048 *See, e.g.*, PIFF Comment Letter; IAA Comment Letter; AIMA/ACC Comment Letter; BVCA Comment Letter; Comment Letter of Bill Huizenga and French Hill (Apr. 25, 2022); MFA Comment Letter I; Grundfest Comment Letter.

1049 *See, e.g.*, Grundfest Comment Letter; AIC Comment Letter I; Ropes & Gray Comment Letter; SBAI Comment Letter; AIMA/ACC Comment Letter.

1050 *See, e.g.*, Carta Comment Letter; Meketa Comment Letter; Lockstep Ventures Comment Letter; NY State Comptroller Comment Letter; AIC Comment Letter I, Appendix 1; AIC Comment Letter I, Appendix 2; MFA Comment Letter I, Appendix A.

1051 *See, e.g.*, AIC Comment Letter I, Appendix 1; AIC Comment Letter I, Appendix 2; MFA Comment Letter I, Appendix A; NAIC Comment Letter. These commenters also expressed concerns that the loss of smaller advisers would result in reduced diversity of investment advisers, based on an assertion that most women- and minority-owned advisers are smaller and are smaller and associated with first time funds. To the extent compliance costs cause smaller advisers to exit, reduced diversity of investment advisers may be a negative effect of the rule. We discuss these effects further in section VI.E.2.

1052 *See infra* section VI.C.1.

commitment size of their institution is too small, or they have a fear of losing their allocation, or they are unable or unwilling to walk away from bad terms.[1053] Some commenters stated that the proposed prohibitions on certain preferential treatment would cause advisers to be less inclined to accept smaller investors,[1054] and while we agree that this could occur and some investors may face additional difficulties securing an investment in a private fund, we also believe this observation concedes the existence of smaller investors, who are more likely to lack bargaining resources.[1055] Another commenter, even though they did not describe specific structural elements of the private fund marketplace that result in market failures, broadly supported the view that the bargaining process in private fund negotiations is not even and requires further regulation.[1056]

We have revised the final rules accordingly to take into consideration the specific causes of bargaining failure. In doing so, we also believe we have not overly prescribed market practices. We also believe we have addressed commenters' concerns that overly prescriptive market practices should not be imposed based solely on self-reported survey evidence from investors, who may be incentivized to seek the assistance of industry researchers or the Commission to improve their negotiation outcomes, even absent any market failure.[1057] We have addressed this issue both by revising the final rules relative to the proposal, such as by revising the restricted activities rule to provide for certain exceptions where required disclosures are made

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1053 Clayton Comment Letter II; ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1054 *See, e.g.*, Ropes & Gray Comment Letter.

1055 *See infra* sections VI.C.1, VI.D.4.

1056 ICCR Comment Letter.

1057 *See, e.g.*, Harvey Pitt Comment Letter.

and, in some cases, where investor consent is obtained, and by considering a wider variety of evidence than self-reported survey evidence from investors.[1058]

In particular, we disagree with commenters who believe the Commission conceptualizes all investors as alike, or who interpret the Commission's goal as creating a one-size-fits-all solution for all private fund advisers.[1059] The variation in responses to surveys of investor groups,[1060] the variation identified by commenters in reporting preferences of investors,[1061] the variation identified by commenters in the degree to which different investors receive preferential treatment,[1062] the variation identified by commenters in terms of the different types of structures of private funds and how those structures meet investor needs,[1063] and all other instances of variation across fund outcomes are all substantial evidence of the variation in private fund investors. Moreover, the economic rationale for the prohibition on certain preferential terms that the adviser reasonably expects would have a material, negative effect on other investors relies substantially on a view that certain investors are larger, with more bargaining resources, and able to secure terms that leave them in an advantaged position relative to other investors. As stated above, this economic rationale is bolstered by the variation in commenter response to the

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1058 *See, e.g.*, *supra* footnotes 989, 1013, 1046 and accompanying text.

1059 *See, e.g.*, AIC Comment Letter I, Appendix 2; Schulte Comment Letter; PIFF Comment Letter.

1060 Clayton Comment Letter II; ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1061 *See, e.g.*, PIFF Comment Letter; NYC Comptroller Letter.

1062 *See, e.g.*, Carta Comment Letter; Meketa Comment Letter; Lockstep Ventures Comment Letter; NY State Comptroller Comment Letter; Weiss Comment Letter; AIC Comment Letter I; AIC Comment Letter I, Appendix 2; MFA Comment Letter II.

1063 *See, e.g.*, LSTA Comment Letter.

proposal to prohibit certain preferential terms, with certain investors themselves opposing the prohibition and others supporting it.[1064]

We also believe we have preserved the ability for advisers and investors to flexibly negotiate fund terms, including via certain changes that are in response to commenters. For example, advisers and investors may still negotiate to identify any performance metrics that they believe will be beneficial to investors, so long as the minimum requirements of the quarterly statement rule are met.[1065] Advisers and investors may also still negotiate for preferential terms for certain investors, as long as those terms are properly disclosed and are not redemption rights or information that would likely have a material negative effect on other investors.[1066] Different investors with different risk preferences or different needs may also accept different redemption rights or information rights, as long as those rights and information are offered to all existing and future investors.[1067] Investors and advisers may further negotiate whether the adviser will engage in the restricted activities under the rule, subject to certain disclosure and, in some cases, consent requirements.[1068] Investor and adviser negotiation over the restricted activities may still include negotiations over which party will bear certain categories of risks based on investor and adviser risk preference, including compliance risks of the fund or adviser facing regulatory expenses, such as investigation expenses.[1069] Lastly, we have respected the different types of

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1064 *See supra* footnote 1050 and accompanying text; *see also, e.g.*, Carta Comment Letter; Meketa Comment Letter; Lockstep Ventures Comment Letter; NY State Comptroller Comment Letter; Weiss Comment Letter; AIC Comment Letter I; AIC Comment Letter I, Appendix 2; MFA Comment Letter II.

1065 *See, e.g.*, PIFF Comment Letter; NYC Comptroller Letter; *see also supra* section II.B.

1066 *See supra* section II.F.

1067 *See infra* section VI.D.4.

1068 *See supra* section II.E.

1069 *Id.*, *see also infra* section VI.D.3.

private fund structures and the needs of their investors, for example by not applying the private fund rules to advisers with respect to SAFs they advise,[1070] and with a provision of the mandatory audit rule that an adviser is only required to take all reasonable steps to cause its private fund client to undergo an audit that satisfies the rule when the adviser does not control the private fund and is neither controlled by nor under common control with the fund.[1071] We therefore believe the final rules mitigate burden where possible and continue to facilitate competition and facilitate flexible informed negotiations between private fund parties.[1072]

C. Economic Baseline

The economic baseline against which we evaluate and measure the economic effects of the final rules, including their potential effects on efficiency, competition, and capital formation, is the state of the world in the absence of the final rules. The economic analysis appropriately considers existing regulatory requirements, including recently adopted rules, as part of its economic baseline against which the costs and benefits of the final rule are measured.[1073]

Specifically, we consider the current business practices and disclosure practices of private fund advisers, as well as the current regulation and the forms of external monitoring and investor

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1070 *See supra* section II.A.

1071 *See supra* section II.C.7.

1072 *See supra* sections II.E, II.F; *see also infra* sections VI.D.3, VI.D.4, VI.E.

1073 *See, e.g.*, *Nasdaq v. SEC*, 34 F.4th 1105, 1111-15 (D.C. Cir. 2022). This approach also follows SEC staff guidance on economic analysis for rulemaking. *See* Staff's Current Guidance on Economic Analysis in SEC Rulemaking, *supra* footnote 979 ("The economic consequences of proposed rules (potential costs and benefits including effects on efficiency, competition, and capital formation) should be measured against a baseline, which is the best assessment of how the world would look in the absence of the proposed action."); *Id*. at 7 ("The baseline includes both the economic attributes of the relevant market and the existing regulatory structure."). The best assessment of how the world would look in the absence of the proposed or final action typically does not include recently proposed actions, because doing so would improperly assume the adoption of those proposed actions. However, in some cases, proposals may impact the behavior of market participants, for example if market participants expect adoption to be likely to occur. In those cases, the effects of the proposal may be analyzed, to the extent it is possible to measure or infer changing behavior of market participants over time or in response to specific events, as part of baseline's assessment of relevant market conditions.